for intellectual coherence, mutual respect and trust between the leadership of all the key policy institutions. The intellectual framework of the team, communicated to the private sector, will create predictability about how the government will respond to future scenarios.

Macroeconomic/financial crises are not like wars, they do not start and end in two weeks. They generally last for over two years. Policymakers face a ‘fog of war’ in this period, where events are moving fast but the standard statistics are quite dated.

For fear to subside, the key building blocks of the crisis have to be comprehensively addressed. The option of letting problems simmer for some time longer, on the critical parts of the problem, is not there in a crisis.

If fiscal policy has been sound, a large expansion of the fiscal deficit can help support demand in a crisis. But if fiscal stress is at the heart of a crisis, this possibility is ruled out.

A formal inflation targeting system reassures the market that monetary policy will not go out of control. This gives greater space for cutting rates when faced with a crisis.

Free movement of asset prices is a shock absorber. A big depreciation of the exchange rate, for example, makes local assets more attractive and bolsters exports.

Prevention is better than cure. The long-term nurturing of inflation targeting, small primary surpluses, sound financial regulation, and deep and liquid financial markets—these make the country less crisis-prone.